

# Family Office Tax Harvesting & Capital Gains Shielding Whitepaper

Institutional Capital Gains Architecture, Section 54EC/54F Reinvestment Framework & Tax-Loss Harvesting Protocol for Indian High-Net-Worth Portfolios

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## 1. EXECUTIVE SUMMARY & POST-FINANCE ACT CAPITAL GAINS ARCHITECTURE

Following the passage of the Finance (No. 2) Act, 2024, the Indian capital gains tax regime underwent structural rationalization that directly impacts high-net-worth portfolio allocations (Verified as on September 30, 2026 for AY 2027-28 (FY 2026-27)). Historically, complex holding periods and indexation benefits created asymmetric tax treatment across mutual funds, direct equities, and real estate. Under the amended provisions, family offices must realign liquidity management, systematic tax-loss harvesting, and capital shielding strategies.

CRITICAL STATUTORY CAUTION: "Tax rules change; confirm with a qualified tax professional."

### Core Legislative Changes Summary (FY 2026-27):

- Section 112A (Long-Term Capital Gains on Listed Equities): Rationalized to flat 12.5% (previously 10%) on gains exceeding the enhanced basic exemption threshold of ₹1,25,000 per financial year.
- Section 111A (Short-Term Capital Gains on Listed Equities): Revised to 20.0% (previously 15%) for holding periods under 12 months.
- Section 50AA (Specified Debt Mutual Funds): Gains from mutual funds investing  $\leq 35\%$  in domestic equities continue to be categorized strictly as short-term capital gains taxed at applicable marginal slab rates, regardless of holding period.
- Section 54EC Capital Gains Bonds: ₹50,00,000 (₹50 Lakhs) ceiling retained for shielding long-term capital gains arising from land, buildings, or real property within 6 months of transfer.
- Section 54F Residential Reinvestment: Capped at a maximum claim threshold of ₹10,00,00,000 (₹10 Crore) net consideration reinvestment in one residential house in India.

## 2. LISTED EQUITY & EQUITY MUTUAL FUND TAX REGIME (SECTION 112A & 111A)

For listed securities traded on recognized stock exchanges where Securities Transaction Tax (STT) is paid, holding periods and rates are codified as follows:

| Security Type              | Holding Threshold             | Applicable Section   | Tax Rate (FY 2026-27)          | Exemption / Indexation                    |
|----------------------------|-------------------------------|----------------------|--------------------------------|-------------------------------------------|
| Listed Shares / Equity MFs | ≤ 12 Months (STCG)            | Section 111A         | <b>20.0% + Surcharge</b>       | Nil exemption                             |
| Listed Shares / Equity MFs | > 12 Months (LTCG)            | Section 112A         | <b>12.5% + Surcharge</b>       | ₹1,25,000 annual exemption; No indexation |
| Grandfathered Equities     | Acquired prior to 01-Feb-2018 | Section 112A Proviso | <b>12.5% on post-2018 gain</b> | Cost stepped up to FMV as on 31-Jan-2018  |

## 3. SPECIFIED DEBT MUTUAL FUNDS & UNLISTED ASSETS (SECTION 50AA)

Under Section 50AA of the Income-tax Act, 1961, any specified mutual fund where not more than 35% of total proceeds are invested in equity shares of domestic companies is treated as short-term capital asset, irrespective of whether the units are held for 1 year, 3 years, or 10 years. Consequently, gains are aggregated with total income and taxed at the highest individual slab rate (up to 39% inclusive of highest surcharge). Family offices must therefore structure debt exposure through direct sovereign gold bonds (SGBs held to maturity remain exempt under Section 47), target maturity index funds, or sovereign debt directly held in demat.

## 4. INSTITUTIONAL TAX-LOSS HARVESTING PROTOCOL

Tax-loss harvesting is the disciplined process of realizing accrued capital losses to offset realized capital gains, thereby reducing net current-year tax liabilities and allowing untaxed capital to continue compounding. The statutory rules governing loss set-off and carry-forward under Section 70 and Section 71 of the Income-tax Act, 1961 are illustrated below:

| Nature of Capital Loss         | Permissible Set-Off Against (Section 70 & 71)                                                                           | Carry-Forward Horizon                                         |
|--------------------------------|-------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------|
| Short-Term Capital Loss (STCL) | Can be set off against BOTH Short-Term (STCG) and Long-Term Capital Gains (LTCG) in the same assessment year            | 8 Assessment Years (provided return filed on time u/s 139(1)) |
| Long-Term Capital Loss (LTCL)  | Can ONLY be set off against Long-Term Capital Gains (LTCG); strictly prohibited from offsetting STCG or business income | 8 Assessment Years (provided return filed on time u/s 139(1)) |
| Inter-Head Set-Off             | Capital losses (STCL or LTCL) CANNOT be set off against Salary, House Property, or Business Income                      | N/A (Strict intra-head ring-fencing)                          |

### Wash-Sale Mitigation in Indian Markets:

While Indian tax statutes do not contain an express 30-day 'wash-sale rule' akin to the US Internal Revenue Code Section 1091, the General Anti-Avoidance Rule (GAAR) empowers authorities to examine circular transactions lacking commercial substance. Our institutional protocol avoids immediate re-purchase of identical ISINs. Instead, realized capital is redeployed across economically correlated but distinct vehicles (e.g. harvesting an underperforming banking stock and redeploying into a broad-market Nifty 500 index fund or peer sector compounder).

## 5. CAPITAL ASSET SHIELDING VIA SECTION 54EC & 54F

For business promoters and families monetizing ancestral land, commercial real estate, or private enterprise equity, Section 54EC and 54F provide critical statutory shielding avenues:

| Statutory Section | Eligible Transfer Asset                                                                             | Reinvestment Asset & Condition                                                                                          | Statutory Cap (FY 2026-27)                                  |
|-------------------|-----------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|
| Section 54EC      | Long-term land, buildings, or real property                                                         | Bonds of REC, PFC, NHAI, or IRFC; must be subscribed within 6 months of transfer; 5-year lock-in                        | ₹50,00,000 (₹50 Lakhs) per assessee per FY                  |
| Section 54F       | Any long-term capital asset OTHER than a residential house (e.g. unlisted equity, commercial plots) | Acquisition of ONE residential house in India within 1 year before or 2 years after transfer (3 years for construction) | ₹10,00,00,000 (₹10 Crore) maximum consideration claim limit |

## 6. GRANDFATHERING MECHANICS FOR PRE-2018 ACQUISITIONS

Under Section 112A, equity shares acquired on or before January 31, 2018 enjoy statutory grandfathering. The acquisition cost is deemed to be the higher of:

- Step 1: Actual historical acquisition cost; and
- Step 2: Lower of (i) Fair Market Value (FMV) on January 31, 2018 (highest traded price on exchange), or (ii) Full value of consideration on sale.

This formula protects all gains accrued up to January 31, 2018 from any capital gains taxation, ensuring family offices only pay 12.5% on incremental post-2018 appreciation.

## 7. COMPREHENSIVE WORKED EXAMPLE: FIDUCIARY TAX HARVESTING

- Stated Portfolio Scenario & Assumptions:
- High-Net-Worth Investor: Managing a ₹5,00,00,000 (₹5 Crore) liquid equity portfolio in FY 2026-27.
  - Gross Realized Long-Term Capital Gains: ₹60,00,000 (from large-cap blue-chip equities held > 2 years).
  - Unrealized Paper Losses in Mid-Cap/Small-Cap Cyclicals: ₹20,00,000.
  - Unharvested Short-Term Capital Gains: ₹15,00,000.
  - Taxpayer Surcharge Bracket: Applicable surcharge of 15% plus 4% Health & Education Cess.
  - Section 112A LTCG Statutory Exemption: ₹1,25,000 applied.

| Step / Computational Component               | Scenario A: Unmanaged Execution       | Scenario B: Fiduciary Harvesting Protocol |
|----------------------------------------------|---------------------------------------|-------------------------------------------|
| Gross Realized Long-Term Gains (LTCG)        | ₹60,00,000                            | ₹60,00,000                                |
| Gross Realized Short-Term Gains (STCG)       | ₹15,00,000                            | ₹15,00,000                                |
| Loss Harvesting Applied (Realized STCL/LTCL) | ₹0 (Unrealized paper losses retained) | -₹20,00,000 (Systematic harvest)          |
| Net Taxable STCG (u/s 111A)                  | ₹15,00,000                            | ₹0 (Offset against harvested loss)        |
| Remaining Loss to Offset LTCG                | ₹0                                    | -₹5,00,000 (Residual loss)                |
| Net Taxable LTCG after Loss Set-off          | ₹60,00,000                            | ₹55,00,000                                |
| Less: Section 112A Basic Exemption           | -₹1,25,000                            | -₹1,25,000                                |
| Net Chargeable LTCG                          | ₹58,75,000                            | ₹53,75,000                                |
| Base Tax on LTCG @ 12.5%                     | ₹7,34,375                             | ₹6,71,875                                 |
| Base Tax on STCG @ 20.0%                     | ₹3,00,000                             | ₹0                                        |
| Total Base Tax Liability                     | ₹10,34,375                            | ₹6,71,875                                 |
| Effective Surcharge (15%) + Cess (4%)        | ₹2,02,738                             | ₹1,31,688                                 |
| TOTAL FINAL TAX OUTFLOW                      | ₹12,37,113                            | ₹8,03,563                                 |
| NET TAX HARVESTING ALPHA (SAVINGS)           | ₹0 Baseline                           | ₹4,33,550 (35.0% Tax Reduction)           |

Arithmetic Verification: In Scenario B, harvesting ₹20 Lakhs of underperforming holdings eliminated 100% of the ₹15 Lakhs STCG taxed at 20%, saving ₹3,00,000 base tax immediately. The residual ₹5 Lakhs loss offset LTCG at 12.5%, saving ₹62,500. Accounting for 15% surcharge and 4% cess, total cash preserved equals ₹4,33,550, fully deployable into compounding securities.

## 8. INTER-GENERATIONAL WEALTH SHIELDING VIA PRIVATE TRUSTS

For multi-generational Indian family offices, holding equities and family promoter stakes through a Private Determinate Trust creates institutional asset protection against probate delays, civil creditor attachments, and potential re-introduction of inheritance levies. Under Section 161 of the Income-tax Act, 1961, where trust beneficiaries and their respective shares are expressly identifiable in the Trust Deed, the trustee is assessed in a representative capacity at the same rates applicable to individual beneficiaries, avoiding the Maximum Marginal Rate (MMR) that penalizes indeterminate trusts.

## 9. FIDUCIARY ACTION CHECKLIST FOR FAMILY OFFICES (FY 2026-27)

- ✓ March Review Cycle: Conduct a systematic pre-fiscal year-end portfolio audit by March 15 to identify unrealized short-term and long-term capital losses before the annual deadline.
- ✓ Threshold Utilization: Fully exhaust the ₹1,25,000 annual Section 112A LTCG tax-free threshold across each family member's independent PAN file.
- ✓ No Indiscriminate Re-Entry: When realizing losses, avoid buying back identical stocks on the same trading day; redeploy across peer market compounders to ensure compliance with GAAR covenants.
- ✓ Real Estate Proceeds Mapping: If monetizing property, ensure Section 54EC bonds (REC/PFC/NHAI) are subscribed within strictly 6 months of execution.
- ✓ Audit Trail Preservation: Retain contract notes, demat statements, and historical FMV computations for a minimum of 8 assessment years in compliance with Section 149.

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